STATE OF CONNECTICUT

QUI TRANSTULIT SUSTINET

Senate

General Assembly

File No. 123

February Session, 2026

Substitute Senate Bill No. 271

Senate, March 23, 2026

The Committee on Labor and Public Employees reported through SEN. KUSHNER of the 24th Dist., Chairperson of the Committee on the part of the Senate, that the substitute bill ought to pass.

AN ACT IMPLEMENTING THE RECOMMENDATIONS OF THE LABOR DEPARTMENT.

Be it enacted by the Senate and House of Representatives in General Assembly convened:

Section 1. Subsection (c) of section 31-235 of the general statutes is repealed and the following is substituted in lieu thereof (*Effective October 1, 2026*):

(c) (1) Notwithstanding the provisions of subsection (a) or (b) of this section, an unemployed individual may limit such individual's availability for work to part-time employment, provided the individual (A) provides documentation from a **[**licensed physician, physician assistant or advanced practice registered nurse**]** health care provider that (i) the individual has a physical or mental impairment that is chronic or is expected to be long-term or permanent in nature, and (ii) the individual is unable to work full-time because of such impairment, and (B) establishes, to the satisfaction of the administrator, that such limitation does not effectively remove such individual from the labor force. For purposes of this subdivision, "health care provider" has the same meaning as provided in subparagraph (A) of subdivision (16) of subsection (a) of section 31-236, as amended by this act.

(2) In determining whether the individual has satisfied the requirements of subparagraph (B) of subdivision (1) of this subsection, the administrator shall consider the individual's work history, efforts to find work, the hours such individual is medically permitted to work and the individual's availability during such hours for work that is suitable in light of the individual's impairment.

Sec. 2. Subparagraph (A) of subdivision (16) of subsection (a) of section 31-236 of the general statutes is repealed and the following is substituted in lieu thereof (*Effective October 1, 2026*):

(16) (A) For purposes of subparagraph (A)(ii) of subdivision (2) of this subsection, "illness or disability" means an illness or disability diagnosed by a health care provider that necessitates care for the ill or disabled person for a period of time longer than the employer is willing to grant leave, paid or otherwise, and "health care provider" means (i) a doctor of medicine or osteopathy who is authorized to practice medicine or surgery by the state in which the doctor practices; (ii) a podiatrist, dentist, psychologist, optometrist or chiropractor authorized to practice by the state in which such person practices and performs within the scope of the authorized practice; (iii) an advanced practice registered nurse, nurse practitioner, nurse midwife, **[**or**]** clinical social worker or physician's assistant authorized to practice by the state in which such person practices and performs within the scope of the authorized practice; (iv) Christian Science practitioners listed with the First Church of Christ, Scientist in Boston, Massachusetts; (v) any medical practitioner from whom an employer or a group health plan's benefits manager will accept certification of the existence of a serious health condition to substantiate a claim for benefits; (vi) a medical practitioner, in a practice enumerated in clauses (i) to (v), inclusive, of this subparagraph, who practices in a country other than the United States, who is licensed to practice in accordance with the laws and regulations

of that country; or (vii) such other health care provider as the Labor Commissioner approves, performing within the scope of the authorized practice.

Sec. 3. Section 31-266c of the general statutes is repealed and the following is substituted in lieu thereof (*Effective October 1, 2026*):

(a) The administrator, upon the advice of the Attorney General, may abate any contributions or payments in lieu of contributions due under this chapter which have been found by the administrator to be uncollectible.

(b) The administrator or the administrator's duly authorized agent may make or entertain an offer of compromise for any contributions or payments in lieu of contributions due under this chapter if such offer is based upon doubt as to the employer's liability for the amount in controversy or doubt as to the collectibility of such amount. For purposes of this section, doubt as to the employer's liability for the amount in controversy exists if there is a genuine dispute as to the existence or amount of the employer's liability under this chapter, and doubt as to the collectibility of such amount exists if the employer's assets and income are less than the full amount of the employer's debts, obligations and liabilities under state or federal law.

Sec. 4. Section 53-303e of the general statutes is repealed and the following is substituted in lieu thereof (*Effective October 1, 2026*):

(a) No employer shall compel any employee engaged in any commercial occupation or in the work of any industrial process to work more than six days in any calendar week. An employee's refusal to work more than six days in any calendar week shall not constitute grounds for **[**his**]** such employee's dismissal.

(b) Any employee, who believes that **[**his**]** such employee's discharge was in violation of subsection (a) of this section may **[**appeal such discharge to the State Board of Mediation and Arbitration. If said board**]** file a complaint with the Labor Commissioner. If the commissioner, or the commissioner's designee, finds that the employee was discharged in violation of [said] subsection (a) [, it] of this section, the commissioner, or the commissioner's designee, may order whatever remedy will make the employee whole, including, but not limited to, reinstatement to [his former] such employee's former position or a comparable position. Any party aggrieved by a decision of the commissioner, or the commissioner's designee, may appeal the decision to the Superior Court in accordance with the provisions of chapter 54.

[(c) Any person who violates any provision of this section shall be fined not more than two hundred dollars.]

Sec. 5. Section 31-236f of the general statutes is repealed and the following is substituted in lieu thereof (*Effective July 1, 2026*):

The administrator, as defined in section 31-232b, [in consultation with the advisory board established pursuant to section 31-250a,] shall develop and implement a procedure or program to insure that an employee, at the time of termination by an employer, receives adequate information regarding the availability of unemployment compensation benefits under chapter 567 and the procedure required for making a claim for such benefits.

Sec. 6. Section 31-264a of the general statutes is repealed and the following is substituted in lieu thereof (*Effective July 1, 2026*):

(a) Unless the context requires a different meaning, the term "bonds" or "revenue bonds" under this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264b, as amended by this act, and 31-274j includes notes issued in anticipation of the issuance of revenue bonds, or notes issued pursuant to a commercial paper program.

(b) There is established a fund to be known as the Unemployment Compensation Advance Fund. The fund shall be administered by the State Treasurer as a trust fund, in accordance with the provisions of this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-

232f, 31-236, as amended by this act, **[**31-250a,**]** 31-259, 31-263, 31-264b, as amended by this act, and 31-274j. The state treasurer may enter into contracts that may be useful to the organization, establishment, operation and administration of the fund under all applicable state and federal laws and may contract with any person to provide whatever services to the fund as, in the discretion of the State Treasurer, are necessary for the proper operation and administration of the fund. All costs of organizing, establishing and operating the fund, including the costs of personnel and contractual services, shall be a charge upon and paid by the State Treasurer from the fund. In addition, all costs of establishing and administering the necessary procedures for billing, payment and collection of the assessments authorized to be established by the administrator pursuant to section 31-225a shall be a charge upon and paid by the State Treasurer from the fund. All costs related to the organization, establishment and operation of the fund and all costs related to the establishment and administration of billing, payment and collection procedures for moneys received from employers in payment of assessments established in accordance with said section 31-225a, to the extent not payable from the fund, may be paid from other moneys of the state when made available for such purpose. There is established within the fund an advance account, a debt service and reserve account and an administration account, which accounts shall be held separate and apart from each other. Additional accounts and subaccounts may be established in the proceedings under which the revenue bonds are authorized.

(c) There shall be deposited in the advance account: (1) The proceeds of revenue bonds issued by the state for deposit into the account and use in accordance with this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended by this act, **[**31-250a,**]** 31-259, 31-263, 31-264b, as amended by this act, and 31-274j; (2) federal grants and awards or other federal assistance received by the state for deposit into the account or for other purposes in accordance with said sections; and (3) interest or other income earned on the investment of moneys in the advance account pending transfer or use pursuant to said sections.

(d) To the extent that amounts are available therefor in the advance account, and on request of the administrator pursuant to subsection (h) of this section, the State Treasurer shall apply the proceeds (1) to repay, in accordance with the proceedings authorizing any revenue bonds issued pursuant to this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264b, as amended by this act, and 31-274j, the outstanding balance of all or any part of the advances made to the state from the federal unemployment account under Title XII of the Social Security Act, 42 USC Sections 1321 to 1324, inclusive, and any interest due on the advances, and (2) to provide advances to the Unemployment Compensation Benefit Fund.

(e) Within the debt service and reserve account there are established the following subaccounts: (1) A reserve subaccount into which shall be deposited the proceeds of revenue bonds issued by the state for deposit into the reserve subaccount and use in accordance with this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264b, as amended by this act, and 31-274j; and (2) a debt service subaccount into which shall be deposited, in accordance with the proceeding authorizing the bonds, the proceeds of the initial issuance of revenue bonds which are expected to be applied as capitalized interest to the extent required, and payments received from or on behalf of any employer in payment of assessments established in accordance with said sections attributable to the debt service requirement. Moneys in each subaccount created under this subsection may be applied by the State Treasurer to debt service on revenue bonds. The Treasurer shall apply amounts in the reserve subaccount to the payment of debt service on bonds whenever amounts on deposit in the debt service subaccount are insufficient. The net proceeds of any refunding bonds shall be deposited in a special subaccount within the debt service and reserve account and shall be applied solely to the retirement or redemption of the bonds to be refunded.

(f) There shall be deposited in the administration account: (1) The proceeds of revenue bonds expected to be deposited into the administration account and use in accordance with this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended by this act, **[**31-250a,**]** 31-259, 31-263, 31-264b, as amended by this act, and 31-274j; and (2) any additional money received from employers in payment of assessments established in accordance with said sections, to offset the costs and expenses of administering and operating the fund. Amounts in the administration account may be applied to offset the costs and expenses of establishing, administering and operating the fund.

(g) The fund shall be maintained separate and apart from all other moneys, funds and accounts of the state. Investment earnings credited to the assets of the fund and to any account and subaccount within the fund shall become part of the assets of the fund, account and subaccount, except as otherwise required for rebates in order to assure the excludability of the interest on the bonds from federal income taxation, as provided in the proceedings authorizing any revenue bonds. Any balance remaining in the fund at the end of any fiscal year shall be carried forward in the fund, account and subaccount for the next fiscal year.

(h) Upon the issuance of revenue bonds and to the extent there are sufficient proceeds or other amounts in the advance account available therefor, any advances to the Unemployment Compensation Benefit Fund that the administrator deems necessary for the payment of benefits under this chapter or to the Unemployment Compensation Fund for the repayment of advances made to the state from the federal unemployment account, including interest thereon, may be obtained from the advance account of the Unemployment Compensation Advance Fund. The State Treasurer shall, on request filed in writing by the administrator, withdraw from the advance account of the Unemployment Compensation Advance Fund and deposit in the Unemployment Compensation Benefit Fund, amounts determined by the administrator to be necessary for the payment of benefits under this chapter without incurring federal interest charges, or deposit in the

Unemployment Compensation Fund amounts determined by the administrator to be required for the repayment of advances made to the state from the federal unemployment account, including interest thereon. The State Treasurer shall, from time to time and at least annually, determine the amount of interest, amortization, reserve and associated costs required for each advance made from the advance account under this subsection computed in accordance with the requirements of the Unemployment Compensation Fund and the proceedings under which the revenue bonds are authorized and such amounts shall be assessed by the administrator as provided in subdivision (2) of subsection (e) of section 31-225a. For purposes of this subsection, "associated costs" includes all costs related to the efficient establishment, operation and administration of the Unemployment Compensation Advance Fund pursuant to subsection (b) of this section, and the proceedings under which the bonds are issued pursuant to this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264b, as amended by this act, and 31-274j and the costs of establishing and administering the billing, payment and collection procedures referred to in subsection (b) of this section.

(i) The moneys in the advance account may also be used to pay any costs related to the issuance of revenue bonds issued pursuant to section 31-264b, as amended by this act, and to pay any debt service thereon for which amounts on deposit in the debt service and reserve account maintained pursuant to this section are insufficient.

(j) Notwithstanding any provision of this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264b, as amended by this act, and 31-274j to the contrary, any money received from the Unemployment Compensation Fund may not be used for any purpose inconsistent with federal law, and any federal grants, awards, advances or other federal assistance referred to herein may not be used for any purpose other than that for which such amounts were granted, awarded, advanced, or otherwise appropriated, respectively.

Sec. 7. Section 31-264b of the general statutes is repealed and the following is substituted in lieu thereof (*Effective July 1, 2026*):

(a) The State Bond Commission may authorize the issuance of revenue bonds of the state in one or more series and in principal amounts necessary or estimated to be necessary as an advance to the Unemployment Compensation Fund, or to repay advances made to the state from the federal unemployment account, but not in excess of one billion dollars outstanding at any one time and such additional amount of bonds required to fund any debt service and reserve account in accordance with the proceedings authorizing the bonds and the costs of issuance, capitalized interest, if any, and the initial costs and expenses of the administration account, provided in computing the total amount of bonds which may at any one time be outstanding, the principal amount of any refunding bonds issued to refund bonds shall be excluded. The legislature finds that it is an essential governmental function to assure that the balance in the state's account in the federal Unemployment Trust Fund is maintained at a level which is sufficient to pay all benefits and further finds that the financing and payment of the outstanding principal amount which has been advanced to the state from the federal account of the Unemployment Trust Fund and the financing and funding of the state's account in the Unemployment Trust Fund by the issuance of revenue bonds pursuant to this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended by this act, **[**31-250a,**]** 31-259, 31-263, 31-264a, as amended by this act, and 31-274j is in the public interest, will substantially result in savings of interest costs, will achieve a public purpose of reducing overall costs of providing employment benefits and will thereby foster and promote economic growth, provide employment opportunities for the residents of the state and assist companies by reducing their overall costs of doing business in the state.

(b) Bonds issued pursuant to subsection (a) of this section shall be special obligations of the state and shall not be payable from nor charged upon any funds other than the Unemployment Compensation Advance Fund and revenues pledged to the payment thereof, nor shall the state or any political subdivision thereof be subject to any liability thereon other than from such sources. The issuance of revenue bonds under the provisions of this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264a, as amended by this act, and 31-274j shall not directly or indirectly or contingently obligate the state or any political subdivision thereof to levy or to pledge any form of taxation whatever therefor or to make any appropriation for their payment other than the appropriation set forth in this section. The bonds shall not constitute a charge, lien or encumbrance, legal or equitable, upon any property of the state or of any political subdivision thereof, except the Unemployment Compensation Advance Fund and revenues pledged or otherwise encumbered under the provisions and for the purpose of said sections. The substance of this limitation shall be plainly stated on the face of each bond. Revenue bonds issued pursuant to said sections shall not be subject to any statutory limitation on the indebtedness of the state and the bonds, when issued, shall not be included in computing the aggregate indebtedness of the state in respect to, and to the extent of, any such limitation. As part of the contract of the state with the owners of the revenue bonds, all amounts necessary for the punctual payment of the debt service requirements with respect to the revenue bonds shall be deemed appropriated, but only from the sources pledged pursuant to this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264a, as amended by this act, and 31-274j.

(c) The revenue bonds referred to in subsection (a) of this section may be executed and delivered at the time or times, shall be dated, shall bear interest at the rate or rates, shall mature at the time or times not exceeding ten years from their date, have the rank or priority, be payable in the medium of payment, be issued in coupon or in registered form, or both, carry the registration and transfer privileges and be made redeemable before maturity at the price or prices and under the terms and conditions, all as may be provided by the State Bond Commission. With the exception of subsections (i) and (p) all provisions of section 3-20 and the exercise of any right or power granted thereby which are not inconsistent with the provisions of this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264a, as amended by this act, and 31-274j are hereby adopted and may be invoked in respect to all revenue bonds authorized by the State Bond Commission pursuant to said sections. For the purposes of subsection (o) of said section 3-20, "bond act" includes said sections. None of the revenue bonds shall be authorized, except upon a finding by the State Bond Commission that there has been filed with it a request for authorization, which is signed by or on behalf of the State Treasurer and states the terms and conditions as said commission, in its discretion, may require.

(d) The principal of and interest on any bonds issued pursuant to this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264a, as amended by this act, and 31-274j shall be secured by a pledge of the Unemployment Compensation Advance Fund and any revenues, receipts, funds or moneys payable to the fund, including any federal grants or advances available for the fund and including the amounts of payment received from assessments established pursuant to said sections, all as set forth in the proceedings authorizing the bonds pursuant to said sections. Any pledge made by the state pursuant to said sections is a pledge within the meaning and for all purposes of title 42a and shall be valid and binding from the time when the pledge is made. Any revenues or other receipts, funds or moneys so pledged and thereafter received by the state shall be subject immediately to the lien of the pledge without any physical delivery thereof or further act. The lien of any pledge shall be valid and binding as against all parties having claims of any kind in tort, contract or otherwise against the state, irrespective of whether the parties have notice of the claims. Neither this section nor sections 3-21a, 31-222, 31-225, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264a, as amended by this act, and 31-274j, the resolution nor any other instrument by which a pledge is created need be recorded.

(e) Revenue bonds issued pursuant to this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended by this act, [31-250a,] 31-259, 31-263, 31-264a, as amended by this act, and 31-274j are hereby made securities in which public officers and public bodies of the state and its political subdivisions, all insurance companies, credit unions, savings and loan associations, investment companies, banking associations, trust companies, executors, administrators, trustees and other fiduciaries and pension, profit-sharing and retirement funds may properly and legally invest funds, including capital in their control or belonging to them. The bonds are hereby made securities which may properly and legally be deposited with and received by any state or municipal officer or any agency or political subdivision of the state for any purpose for which the deposit of bonds or other obligations of the state is now or may hereafter be authorized by law.

(f) The proceedings under which bonds are authorized to be issued may contain any or all of the following: (1) Provisions respecting custody of the proceeds from the sale of the bonds, including any requirement that the proceeds be deposited in the Unemployment Compensation Advance Fund and held separate from, or not be commingled with, other funds of the state; (2) provisions for the investment and reinvestment of bond proceeds and after the disposition of any excess bond proceeds or investment earnings thereon; (3) provisions for the execution of reimbursement agreements or similar agreements in connection with credit facilities, including, but not necessarily limited to, letters of credit or policies of bond insurance, remarketing agreements and agreements for the purpose of moderating interest rate fluctuations, and of such other agreements entered into pursuant to section 3-20a; (4) provisions for the collection, custody, investment, reinvestment and use of the pledged revenues or other receipts, funds or moneys pledged therefor as provided in this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, [31-250a,] 31-259, 31-263, 31-264a and 31-274j; (5) provisions regarding the establishment and maintenance of reserves, sinking funds and any other funds and accounts of the Unemployment Compensation Advance Fund pursuant to said sections and in the amounts and on the terms approved by the State Bond Commission in the amounts established by the State Bond Commission; (6) covenants for the establishment of pledged revenue coverage requirements for the bonds; (7) provisions for the issuance of additional bonds on a parity with bonds theretofore issued, including establishment of coverage requirements with respect thereto as herein provided; (8) provisions regarding the rights and remedies available in case of a default to bondowners, noteowners or any trustee under any contract, loan agreement, document, instrument or trust indenture, including the right to appoint a trustee to represent their interests upon occurrence of an event of default, as defined in said proceedings, provided if any revenue bonds are secured by a trust indenture, the respective owners of the bonds shall have no authority, except as set forth in the trust indenture, to appoint a separate trustee to represent them; (9) provisions for the payment of rebate amounts; and (10) provisions of covenants of like or different character from the foregoing which are consistent with this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, [31-250a,] 31-259, 31-263, 31-264a and 31-274j, and which the State Bond Commission determines in such proceedings are necessary, convenient or desirable in order to better secure the revenue bonds, or will tend to make the revenue bonds more marketable, and which are in the best interests of the state. Any provision which may be included in proceedings authorizing the issuance of bonds hereunder may be included in an indenture of trust duly approved in accordance with said sections, which secures the revenue bonds issued in anticipation thereof, and in such case the provision of the indenture shall be deemed to be a part of the proceedings as though they were expressly included therein.

(g) Whether or not any revenue bonds issued pursuant to this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236<u>, as amended by this act</u>, [31-250a,] 31-259, 31-263, 31-264a<u>, as amended by this act,</u> and 31-274j are of the form and character to qualify as negotiable instruments under the terms of title 42a, the bonds are hereby made negotiable instruments within the meaning of and for all purposes of title 42a, subject only to the provisions of the bonds.

(h) The state covenants with the purchasers and all subsequent owners and transferees of revenue bonds issued by the state pursuant to this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended by this act, **[**31-250a,**]** 31-259, 31-263, 31-264a, as amended by this act, and 31-274j, in consideration of the acceptance of and payment for the bonds, that the bonds shall be free at all times from taxes levied by any municipality or political subdivision or special district having taxing powers of the state, and the principal and interest of any bonds issued under the provisions of said sections, their transfer and the income therefrom, including any profit on the sale or transfer thereof, shall at all times be exempt from any taxation by the state of Connecticut or under its authority, except for estate or succession taxes. The State Treasurer is authorized to include this covenant of the state in any agreement with the owner of any bonds and in any credit facility or reimbursement agreement with respect to the bonds.

(i) The state further covenants with the purchasers and all subsequent owners and transferees of bonds issued by the state pursuant to this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236, as amended by this act, **[**31-250a,**]** 31-259, 31-263, 31-264a, as amended by this act, and 31-274j, in consideration of the acceptance of the payment of the bonds, until the bonds, together with the interest thereon, with interest on any unpaid installment of interest and all costs and expenses in connection with any action or proceeding on behalf of the owners, are fully met and discharged or unless expressly permitted or otherwise authorized by the terms of each contract and agreement made or entered into by or on behalf of the state with or for the benefit of such owners, that the state will cause the administrator to impose, charge, raise, levy, collect and apply the pledged assessments and other revenues, receipts, funds or moneys pledged for the payment of debt service requirements in each year in which bonds are outstanding and further, that the state (1) will not limit or alter the duties imposed on the administrator, the State Treasurer and other officers of the state by the proceedings authorizing the issuance of bonds with respect to application of pledged assessments or other revenues, receipts, funds or moneys pledged for the payment of debt service requirements; (2) will not issue any bonds, notes or other evidences of indebtedness, other than the bonds, having any rights arising out of said sections or secured by any pledge of or other lien or charge on the pledged revenues or other receipts, funds or moneys pledged for the payment of debt service requirements; (3) will not create or cause to be created any lien or charge on the pledged amounts, other than a lien or pledge created thereon pursuant to said sections, provided nothing in this subsection shall prevent the state from issuing evidences of indebtedness (A) which are secured by a pledge or lien which is, and shall on the face thereof, be expressly subordinate and junior in all respects to every lien and pledge created by or pursuant to said sections; or (B) which are secured by a pledge of or lien on moneys or funds derived on or after the date every pledge or lien thereon created by or pursuant to said sections shall be discharged and satisfied; (4) will carry out and perform, or cause to be carried out and performed, each and every promise, covenant, agreement or contract made or entered into by the state or on its behalf with the owners of any bonds; (5) will not in any way impair the rights, exemptions or remedies of the owners; and (6) will not limit, modify, rescind, repeal or otherwise alter the rights or obligations of the appropriate officers of the state to impose, maintain, charge or collect the assessments and other revenues or receipts constituting the pledged revenues as may be necessary to produce sufficient revenues to fulfill the terms of the proceedings authorizing the issuance of the bonds, including pledged revenue coverage requirements, and provided nothing herein shall preclude the state from exercising its power, through a change in law, to limit, modify, rescind, repeal or otherwise alter the character of the pledged assessments or revenues or to substitute like or different sources of assessments, taxes, fees, charges or other receipts as pledged revenues if and when adequate provision shall be made by law for the protection of the holders of outstanding bonds pursuant to the proceedings under which the bonds are issued, including changing or altering the method of establishing the assessments as provided in subparagraph (B) of subdivision (2) of subsection (e) of section 31-225a. The State Bond Commission is authorized to include this covenant of the state, as a contract of the state, in any agreement with the owner of any bonds and in any credit facility or reimbursement agreement with respect to the bonds.

(j) Pending the use and application of any bond proceeds, the proceeds may be invested by, or at the direction of, the State Treasurer in obligations listed in section 3-20.

(k) Any revenue bonds issued under the provisions of this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236<u>, as amended by this act</u>, **[**31-250a,**]** 31-259, 31-263, 31-264a<u>, as amended by this act,</u> and 31-274j and at any time outstanding may, at any time and from time to time, be refunded by the state by the issuance of its revenue refunding bonds in whatever amounts the State Bond Commission may deem necessary, but not to exceed an amount sufficient to refund the principal of the revenue bonds to be so refunded, to pay any unpaid interest thereon and any premiums and commissions necessary to be paid in connection therewith and to pay costs and expenses which the State Treasurer may deem necessary or advantageous in connection with the authorization, sale and issuance of refund bonds. Any such refunding may be effected whether the revenue bonds to be refunded shall have matured or shall thereafter mature. All revenue refunding bonds issued hereunder shall be payable solely from the Unemployment Compensation Advance Fund and revenues or other receipts, funds or moneys out of which the revenue bonds to be refunded thereby are payable and shall be subject to and may be secured in accordance with the provisions of this section.

(l) The State Treasurer shall have power, out of any funds available therefor, to purchase revenue bonds issued pursuant to this section and sections 3-21a, 31-222, 31-225a, 31-231a, 31-232b, 31-232d, 31-232f, 31-236<u>, as amended by this act</u>, **[**31-250a,**]** 31-259, 31-263, 31-264a<u>, as amended by this act,</u> and 31-274j. The State Treasurer may hold, pledge, cancel or resell the bonds, subject to and in accordance with agreements with bondholders.

Sec. 8. Section 31-250a of the general statutes is repealed. (*Effective*

October 1, 2026)

This act shall take effect as follows and shall amend the following sections:		
Section 1	*October 1, 2026*	31-235(c)
Sec. 2	*October 1, 2026*	31-236(a)(16)(A)
Sec. 3	*October 1, 2026*	31-266c
Sec. 4	*October 1, 2026*	53-303e
Sec. 5	*July 1, 2026*	31-236f
Sec. 6	*July 1, 2026*	31-264a
Sec. 7	*July 1, 2026*	31-264b
Sec. 8	*October 1, 2026*	Repealer section

Statement of Legislative Commissioners:
Sections 5 to 7, inclusive, were added for consistency with the repealer in Section 8.

LAB *Joint Favorable Subst.*

The following Fiscal Impact Statement and Bill Analysis are prepared for the benefit of the members of the General Assembly, solely for purposes of information, summarization and explanation and do not represent the intent of the General Assembly or either chamber thereof for any purpose. In general, fiscal impacts are based upon a variety of informational sources, including the analyst's professional knowledge. Whenever applicable, agency data is consulted as part of the analysis, however final products do not necessarily reflect an assessment from any specific department.

OFA Fiscal Note

State Impact:

Agency Affected	Fund-Effect	FY 27 $	FY 28 $
Labor Dept.	UITF - Potential Revenue Gain	See Below	See Below
Labor Dept.	GF - Potential Revenue Loss	Potential Minimal	Potential Minimal

Note: GF=General Fund; UITF=Unemployment Insurance Trust Fund

Municipal Impact: None

Explanation

The bill makes various revisions to labor statutes, including some concerning unemployment insurance, which results in the impacts described below.

Sections 1 and 2 make technical and clarifying changes, which do not have a fiscal impact on the state or municipalities.

Section 3 expands the Labor Commissioner's authority to abate reimbursements deemed to be uncollectible. This results in a potential revenue gain[1] to the Unemployment Insurance Trust Fund starting in FY 27 to the extent partial abatement enables recovery of a portion of the otherwise uncollectible amounts[2].

Section 4 changes where employees dismissed due to refusing to

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[1] As of the end of January 2026, uncollectable amounts from reimbursing employers totaled $3.2 million, and the Department of Labor (DOL) estimates that between 40% to 60% could be recovered if partial amounts owed by reimbursing employers are abated as part of negotiations.

[2] Under current law, DOL is required to pursue the full balance due from reimbursing employers.

work more than six days in any calendar week can appeal such dismissal from the State Board of Mediation and Arbitration to the Department of Labor (DOL)[3]. This does not result in any fiscal impact on the state or municipalities.

This section also allows for certain decisions of the Labor Commissioner to be appealed to the Superior Court, which results in no fiscal impact to the state. The court system disposes of over 250,000 cases annually and the number of cases is not anticipated to be great enough to need additional resources.

Finally, this section eliminates the current $200 fine imposed on related violations. This results in a potential minimal revenue loss to the General Fund to the extent fines would otherwise be collected. As a reference, last year there were no fines collected.

Section 5 eliminates the advisory board that advises the Labor Commissioner on matters related to the Employment Security Division. There is no fiscal impact to the state or municipalities as the advisory board serves without compensation.

The Out Years

The annualized ongoing fiscal impact identified above would continue into the future subject to the amounts that are recovered from reimbursing employers that otherwise would have been uncollectible.

[3] According to DOL, there has been one related complaint filed in the last few years, which was withdrawn.

OLR Bill Analysis
sSB 271

AN ACT IMPLEMENTING THE RECOMMENDATIONS OF THE LABOR DEPARTMENT.

SUMMARY

This bill makes various unrelated changes to the labor statutes.

It standardizes the definition of "health care provider" used in the unemployment statutes. In doing so, it expands the range of occupations that may provide documentation or diagnoses to qualify certain claimants for unemployment benefits (e.g., when they can only work part-time due to a physical or mental impairment).

The bill also allows the labor commissioner, or her duly authorized agent, to negotiate and compromise with reimbursing employers who owe payments to the unemployment system if there is doubt about the employer's liability for, or the collectability of, the amount in question. Existing law already allows the commissioner to do this for employers who contribute to the state unemployment fund through unemployment taxes. Generally, reimbursing employers are those, like the state and municipalities, who directly reimburse the unemployment fund for benefits paid to former employees, rather than paying unemployment taxes (§ 3).

Existing law generally prohibits employers from firing employees in commercial occupations or industrial process work for refusing to work more than six days in a calendar week. The bill transfers responsibility for receiving and deciding employee complaints over these violations from the State Board of Mediation and Arbitration to the labor commissioner or her designee. It also (1) removes a mandatory fine of up to $200 and (2) allows parties aggrieved by a labor commissioner's decision to appeal to Superior Court under the Uniform Administrative

Procedure Act (§ 4).

Lastly, the bill eliminates the Employment Security Advisory Board and makes conforming changes (§§ 5-8). Under current law, the board advises the labor commissioner about the policy and operations of the Employment Security Division, which administers the unemployment benefit system.

EFFECTIVE DATE: October 1, 2026, except that certain changes conforming to the repeal of the Employment Security Advisory Board (§§ 5-7) take effect July 1, 2026.

§§ 1 & 2 — "HEALTH CARE PROVIDERS"

State unemployment law generally allows claimants for unemployment benefits to collect benefits if they voluntarily left employment to care for their spouse, child, or parent with an illness or disability diagnosed by a "health provider." Under current law, these providers include:

1. allopathic or osteopathic physicians;
2. podiatrists, dentists, psychologists, optometrists, or chiropractors;
3. advanced practice registered nurses, nurse practitioners, nurse midwives, or clinical social workers;
4. Christian Science practitioners listed with the First Church of Christ, Scientist in Boston, Massachusetts;
5. any medical practitioner from whom an employer or a group health plan's benefits manager will accept certification to substantiate a claim for benefits;
6. licensed medical practitioners in a profession listed above who practice in a different country; and
7. other health care providers approved by the labor commissioner.

The bill adds physician assistants (PAs) to this list of providers.

The law also allows unemployment claimants to limit their availability for work to part-time employment if they can provide documentation that they have a chronic, long-term, or permanent physical or mental impairment that prevents them from working full-time. Current law requires that this documentation be from a licensed physician, physician assistant, or advanced practice registered nurse. The bill instead requires it to be from the broader range of "health care providers" described above.

COMMITTEE ACTION

Labor and Public Employees Committee

Joint Favorable Substitute
Yea 13 Nay 0 (03/05/2026)